

Business Strategies

Chapter 2 (Baltzan)

Learning Objectives

1. Tools for analysing business strategies
2. The competitive strategies defined by Michael E. Porter's model
3. 5-Force industry analysis model

IDENTIFYING COMPETITIVE ADVANTAGES

Business strategy – A leadership plan that aims to achieve a specific set of goals or objectives such as

- Developing new products or services
- Entering new markets
- Increasing customer loyalty



The Role of Information Systems in Business Today

Digital Business Information Systems (DBIS) – Transform business activities, processes, models to deliver better **values** to the business and all stakeholders.

- o Transformed to a Fully digital firm:
 - o Business relationships are digitally enabled and mediated.
 - o Core business processes are through digital networks.
 - o Key **assets** are managed digitally.

Stakeholders' interests



Tools for Analyzing Business Strategies

SWOT ANALYSIS

Evaluates Project
Position

THE FIVE FORCES MODEL

Evaluates Industry
Attractiveness

THE THREE GENERIC STRATEGIES

Chooses Business
Focus

VALUE CHAIN ANALYSIS

Executes Business
Strategy

Basic Competitive Strategies

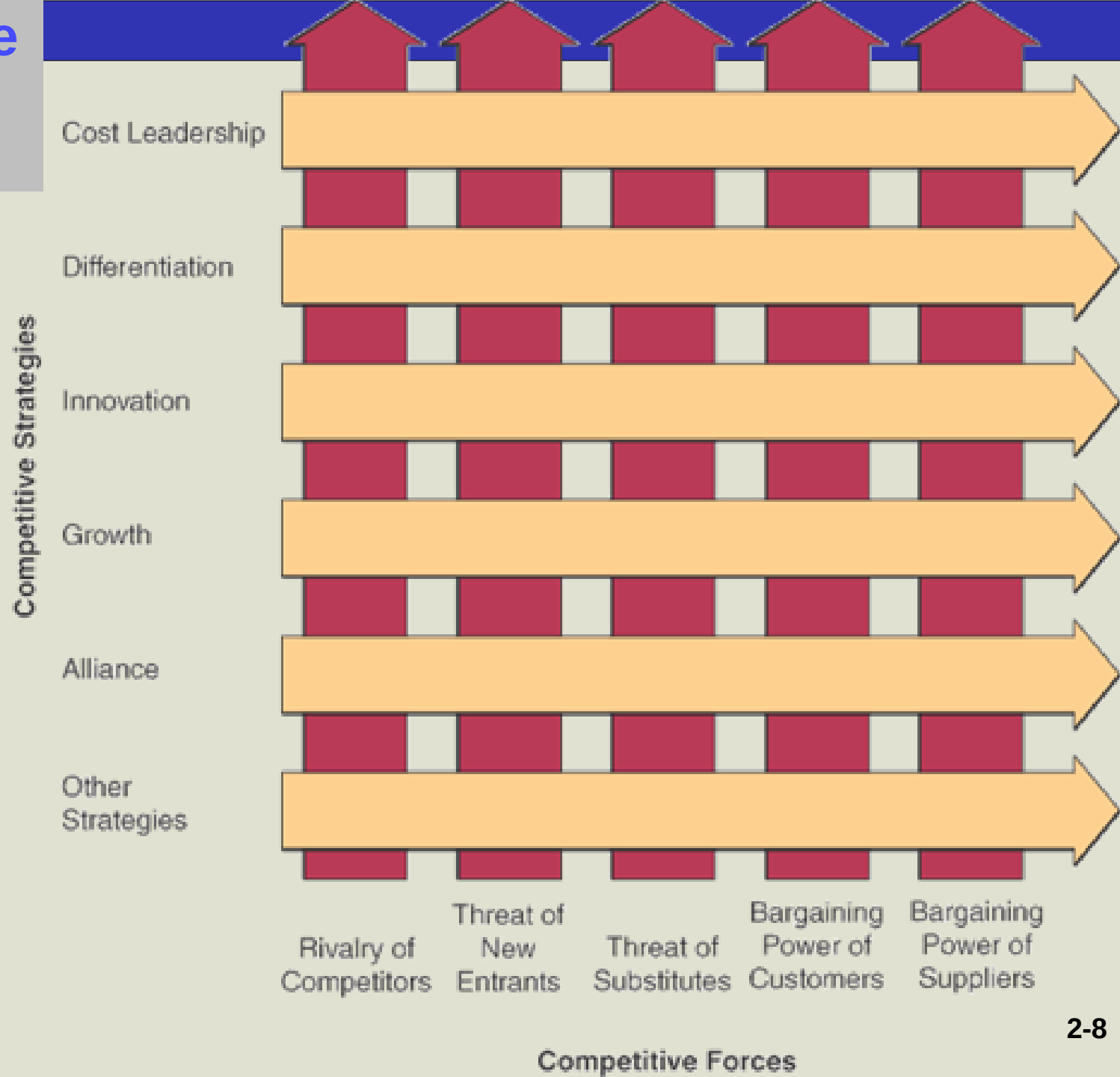
- Cost Leadership

- Become low-cost producers
- Help suppliers or customers reduce costs
- Increase cost to competitors
 - Example: Makro, Chinese products

- Differentiation Strategy

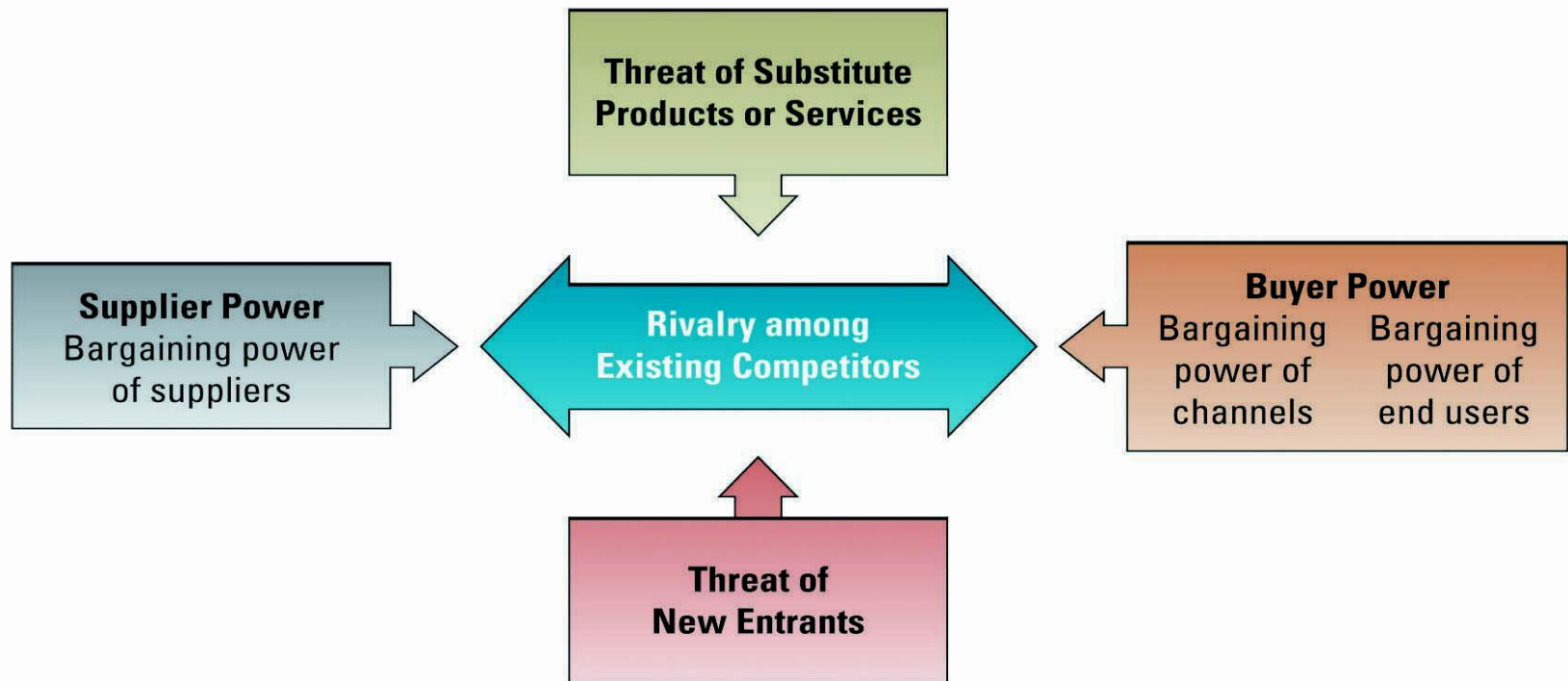
- Differentiate a firm's products from its competitors'
- Focus on a particular segment or niche of market
 - Example: Apple

Competitive Forces and Strategies



THE FIVE FORCES MODEL – EVALUATING BUSINESS SEGMENTS

- Porter's *Five Forces Model* determines the relative attractiveness of an industry



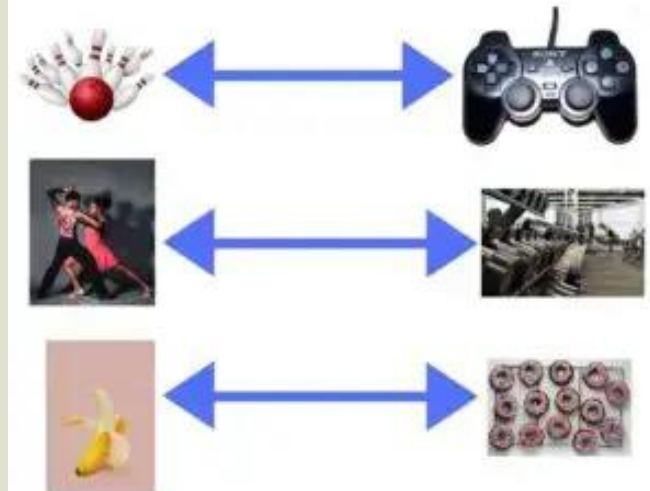
RIVALRY AMONG EXISTING COMPETITORS

- **High** when competition is fierce in a market and
- **Low** when competitors are more complacent
- Sample influential factor:
 - **Product differentiation** – Occurs when a company develops unique differences in its products or services with the intent to influence demand
 - e.g. Operating system (macOS vs Windows)

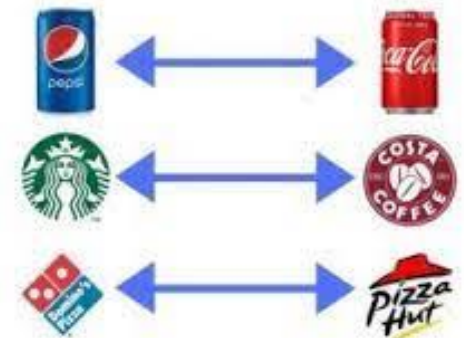
THREAT OF (INDIRECT) SUBSTITUTE PRODUCTS

- Threat of being disrupted
- **High** when there are many alternatives to a product or service and
- **Low** when there are few alternatives
- Sample influencing factor
 - Switching cost
 - E.g. Streaming vs personal media
 - Crypto vs Fiat money vs Gold

In-direct Substitute Goods



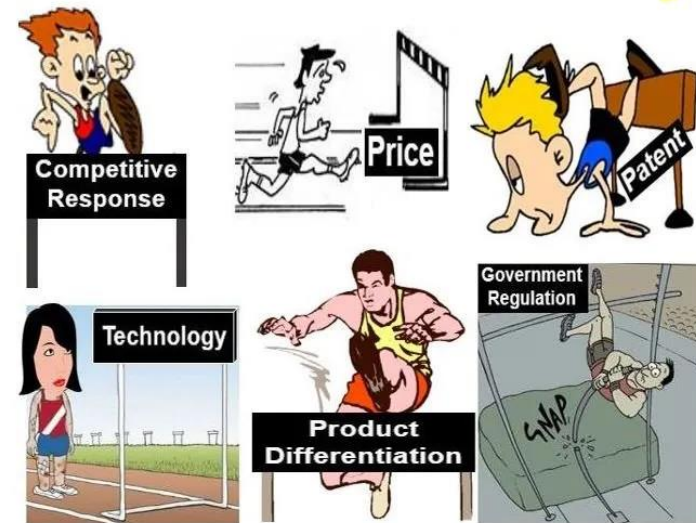
Direct Substitute Goods



THREAT OF NEW ENTRANTS

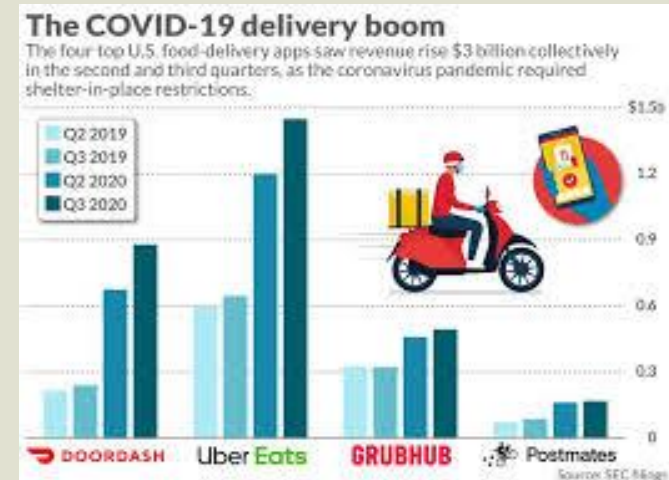
- **Threat of new entrants** – High when it is easy for new competitors to enter a market and low when there are significant entry barriers
 - **Entry barrier** – A feature of a product or service that customers have come to expect and entering competitors must offer the same for survival
 - E.g. electric car, semiconductor, technological platform, energy

Barriers to Entry



BUYER AND SUPPLIER POWER

- **Buyer power** – The ability of buyers to affect the price of an item
- **Supplier power** – The suppliers' ability to influence the prices they charge for supplies
- **Negotiating on:**
 - Price/Delivery term
 - Quality or services level
 - e.g. Delivery services,
<https://nymag.com/intelligencer/2020/05/why-do-food-delivery-companies-lose-money.html>



Five Forces Model in the Airline Industry

Strong (High) Force: Increases Competition or Lots of Competitors

Buyer Power

Many airlines for buyers to choose from, forcing competition based on price.

Supplier Power

Limited number of plane and engine manufacturers to choose from along with unionized workers.

Threat of Substitute Products or Services

Many substitutes, including cars, trains, and buses. Even substitutes to travel such as videoconferencing and virtual meetings.

Threat of New Entrants

Many new airlines entering the market all the time, including air taxis.

Rivalry among Existing Competitors

Intense competition—many rivals.



Samples SWOT Analysis



Porter's Three Generic Strategies

Competitive Scope

Cost Strategy

Low Cost

High Cost

Broad Market

Cost Leadership

Differentiation

Narrow Market

Focused Strategy

Cost Strategy

Low Cost



Broad Market

Walmart



Neiman Marcus

Competitive Scope

Narrow Market



Payless Shoes



Tiffany & Co.

Conclusion

- BIS –Using IT for enhancing values to business in a systematic way
- IT is now used as strategic weapon for competitiveness, not only as supportive role as in the past.
- Business competitive strategies (cost leadership or differentiation) should be smartly selected for different business environment, based on 5-force model